

Multiple Choice (10 marks)

1. For a given level of government spending the federal government usually experiences a budget_____during economic_____and a budget _____during economic_____.
 - (a) surplus expansion surplus expansion
 - (b) deficit recession deficit expansion
 - (c) surplus expansion deficit recession
 - (d) deficit expansion deficit recession
 - (e) surplus expansion surplus recession
2. According to the quantity theory of money increasing the money supply serves to
 - (a) increase long-run output with no significant impact on inflation.
 - (b) have no significant impact on either output or inflation.
 - (c) lower the unemployment rate while also lowering the rate of inflation.
 - (d) increase short-run output but it is the source of long-run inflation.
 - (e) increase the nation's long-run capacity to produce.
3. What is the so-called European Economic Community?
 - (a) a political union of European nations
 - (b) A social welfare collaboration between Eastern and Western European countries
 - (c) a military alliance in Europe
 - (d) a cultural organization in Europe
 - (e) A trade agreement between Europe and Asia to promote intercontinental commerce
4. Economics supposedly deals with the efficient allocation of scarce goods. Where does scarcity fit in the circular flow model?
 - (a) Scarcity is relevant only for non-renewable resources in the circular flow model
 - (b) Scarcity is only relevant in the factor markets of the circular flow model
 - (c) Scarcity is only considered in the household sector of the circular flow model
 - (d) Scarcity is addressed through government intervention in the circular flow model
 - (e) Scarcity is implicit in the entire analysis of the circular flow model
5. What is the relationship between Net National Product and Gross National Product?
 - (a) GNP and NNP are always equal

- (b) $NNP = GNP + (\text{Depreciation} * 2)$
- (c) $GNP = NNP + \text{Depreciation}$
- (d) $NNP = GNP - \text{Depreciation}$
- (e) NNP and GNP are unrelated financial indicators

True / False (10 marks)

Answer True or False

- 6. True or False: A monopoly can sustain short-run profits but is unable to maintain them in the long run due to market pressures.
- 7. True or False: The crowding-out effect occurs when higher interest rates result from borrowing to implement contractionary fiscal policy.
- 8. True or False: Experts believe that the Consumer Price Index (CPI) overstates increases in the cost of living.
- 9. True or False: If 1000 is deposited into a checking account with a reserve ratio of 80
- 9. True or False: If interest rates rise relatively more in country A than in country B, the value of country A's currency will appreciate.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the key factors that contributed to stagflation in the early 1970 s, analyzing their interconnections and the broader implications for economic policy.
- 12. Discuss the significance of a 95% two-sided confidence interval for the intercept term in a regression model, and analyze how it reflects the model's reliability and implications for economic interpretation.

End of Paper